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MOVES 2026 : Case Cracker Challenge

# THE SME COGNITIVE FOUNDRY: Redesigning the Product Innovation for Bharat's MSME's

*A strategic pivot to a decentralized 'Foundry' model, powered by Agentic AI Governance and Entrepreneurial Micro-Enterprises*


**TEAM NAME**

*Apex Predators*

**TEAM MEMBERS**

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**DATE**

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# THE AGILITY GAP: Transitioning the SME division to the Cognitive Foundry

## "Structural Legacy Debt: 21st Century Tech (MACH) , 20th Century Hierarchy."

## USER PERSONA



**Siddharth (35, VP OF SME PRODUCT INNOVATION)**

***"I'm a product strategist forced to act as a full-time administrative coordinator."***

- **The Trap**: Spends **50%** of his week on bureaucratic coordination and approval committees instead of product strategy.
- **The Impact**: **4+** monolithic review layers turn a **2-week** feature concept into a **180-day** launch cycle.




## CURRENT CAGR OF DIFFERENT SEGMENTS

- ***The Velocity Tax (Time)*** ***Data: 180-Day Launch Cycle*** ***Impact: Critical loss of First-Mover Advantage in high-growth segments.***
- ***The Friction Tax (Productivity)*** ***Data: 50% Administrative Overhead*** ***Impact: Strategic deficit; managers spend 20+ hours/week on non-value-adding chores.***
- ***The Integration Tax (Partnerships)*** ***Data: 12–18 Month Onboarding*** ***Impact: High partner churn; unable to scale with "plug-and-play" Fintechs.***
- ***The Efficiency Tax (Financials)*** ***Data: approx 45-50% Cost-to-Income Ratio*** ***Impact: High fixed OpEx driven by monolithic middle-management layers.***

***The Cost of Inertia***

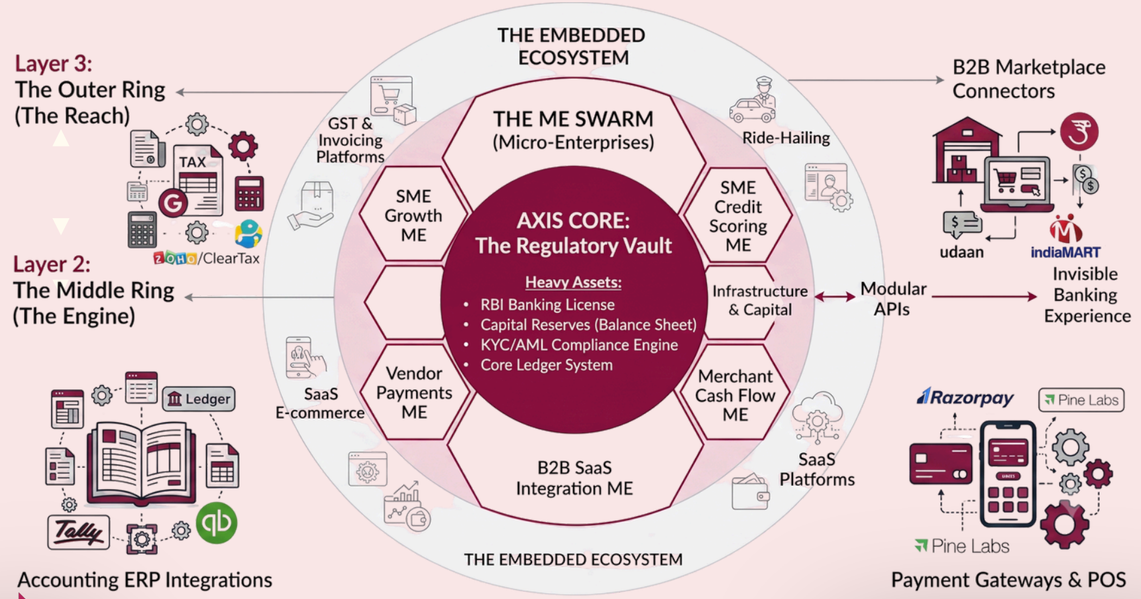



**TOTAL CYCLE: 180 DAYS**

## THE STRATEGIC PIVOT: Hollowing the Hierarchy



## THE COGNITIVE FOUNDRY (Target State 2035): A B2B2C Financial Utility Layer: Decoupling the regulated 'Vault' from the entrepreneurial 'Front-end'.




## THE FOUNDRY WIN

- ***▼ 60–75% Infrastructure & Operating Costs***
- ***▲ 3x Speed to Product-Market Fit***
- ***▼ Marginal Customer Acquisition Cost (CAC)***

***Optimizes the GPS framework via modular APIs while securing the enterprise with 90%+ real-time risk precision through agentic governance.***

## USER PERSONA



**Siddharth (44, CEO, SME Growth Micro Enterprise. )**

***"I operate as an agile fintech entrepreneur backed by a Tier-1 bank balance sheet."***

- **The Liberation:** AI governance agents absorb **100% of compliance routing**, granting full autonomous P&L ownership.
- The Impact: Leverages modular Foundry APIs to achieve product-market fit **3x faster** (60-day launch cycle).



Siddharth (44, CEO, SME Growth Micro Enterprise. )

The ME Entrepreneur

## AI Governance Architecture



***SME Growth ME (Siddharth's team). identifies a market opportunity***

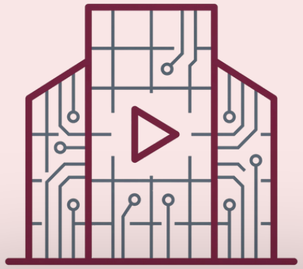
## COGNITITVE AI Filter



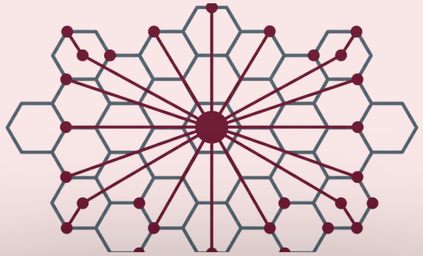



**Digital Token** **Payment done**

# STRATEGIC EVOLUTION: The Surgical Deployment Path to 2035










**Focus: Risk Mitigation & Proof of Concept.**

- ***Surgical Pilot***: *Deploy 5–10* ***"Alpha MEs"*** *within* ***Project NEO*** *by Axis.*
- ***AI Baselining***: *Train the* ***MAML Governor*** *on low-risk products to achieve* ***Precision> 85%***.
- ***Velocity Test***: *Compress product launch cycles from* ***6 months → 3 months.***
- ***The Gate***: ✓*Proven AI efficacy in a contained environment*

**Focus: High-Growth Migration & OpEx Reduction**

- ***Segment Pivot***: *Transition SME Lending division into autonomous MEs.*
- ***Market Launch***: *Establish the 'Internal Free Market' strictly for SME product and distribution teams.*
- ***OpEx Strip***: ***Target 15%*** *reduction in middle-management overhead via hierarchy flattening.*
- ***The Gate***: ✓***Successful P&L*** *ownership transition for a major business unit.*

**Focus: Systemic Reconfiguration & Maximum Value**

- **Capability Scaling**: Full migration of SME Lending and Product Innovation into autonomous Micro-Enterprises (MEs)
- ***Programmatic Guardrails***: *Deployment of "****Decision Tokens****" across all high-risk transactions.*
- ***Financial Peak***: ***Achievement of ~ 30% Cost-to-Income (C/I)*** *Ratio.*
- ***The Goal***: *Transition Axis Bank into a Global Financial Utility Layer.*

### Key Risks & Mitigations

***Risk 1: RBI regulatory pushback. Mitigation: AI Governor integrates with DPI (Account Aggregators & ULI) for 100% transparent audit trails.***
***Risk 2: AI Hallucinations. Mitigation: High-risk SME fund movements require a >95% confidence score or default to a human-in-the-loop.***

## THE REGULATORY SHIELD: Anchoring Decentralization in India's DPI










**CONSENT-DRIVEN PRIVACY**

***Eliminates unauthorized data access via granular, user-approved streams, ensuring 100% DPDP Act compliance***

**PROGRAMMABLE COMPLIANCE**

***Enforces fund-use restrictions via smart-contracts, preventing non-compliant disbursements at the ledger level***

**ALGORITHMIC TRANSPARENCY**

***Replaces retrospective sampled audits with a 100% explainable, real-time audit trail for the regulator.***

## VALUE REALIZATION: Projected Economic Impact

| Strategic Matric | Legacy Monolith (today) | Cognitive Foundry (2035) | Strategic Gain (The Win) |
|---|---|---|---|
| Time -To-Market | Approx 180 Days | 60 Days | ↑ 3 Times Velocity |
| Acquisition Cost (CAC) | High (Proprietary/ B2C) | Marginal (Embedded/ B2B2C) | ↓ 40-60% cost |
| OpEx Structure | High Fixed (Hierarchy) | Variable (Value-Based MEs) | ↓ 32% Headcount |
| Compliance Precision | 60-70% (Sampled) | 90%+ (Real Time) | ✓ Zero-Day Risk |
| Infra & Compliance Cost | High (Proprietary Core) | Low (BaaS/Modular) | ↓ 60-75% Cost |
| Cost-to-Income (C/I) | Approx 45-50% | Target: approx 30% | ↑ 15% Margin Exp. |